

Market Structures

Perfect competition - Firms have no market power

Imperfect competition - Firms have a degree of market power

- Monopoly
- Oligopoly
- Monopolistic

Perfect competition

- Large number of buyers and sellers
- Firms are price takers (no market power)
- Homogenous products (all products are very similar in quality)
- No barriers for entry or exit (no setup costs, government regulations, patents etc that hinder someone entering or exiting the market)
- Example: agricultural market

Monopoly

- One firm
- No close substitutes
- Firms set price
- High barriers to entry
- Example: utilities (you have to go through western power)

Oligopoly

- Few large companies
- Sellers are interdependent (work together strategically)
- Goods are close substitutes
- Barriers to entry exist
- Example: telecommunications or supermarket chains

Monopolistic

- Many firms
- The firms are price setters
- Differentiated but close substitutes
- Low barriers to entry
- Imperfect information
- Example: Phone market or computers